

The widespread recognition of the factor of future growth in common stocks first asserted itself as a stock-market influence at a time when in fact the most dynamic factors in our national expansion (territorial development and rapid accretions of population) were no longer operative, and our economy was about to face grave problems of instability arising from these very checks to the factor of growth. The overvaluations of the new-era years extended to nearly every issue that had even a short period of increasing earnings to recommend it, but especial favor was accorded the public-utility and chain-store groups. Even as late as 1931 the high prices paid for these issues showed no realization of their inherent limitations, just as five years later the market still failed to appreciate the critical changes taking place in the position of railroad bonds as well as stocks.

*Quality Differentials.* The stock market of 1940 has its well-defined characteristics, founded chiefly on the experience of the recent past and on the rather obvious prospects of the future. The tendency to favor the larger and stronger companies is perhaps more pronounced than ever. This is supported by the record since 1929, which indicates, we believe, both better resistance to depression and a more complete recovery of earning power in the case of the leading than of the secondary companies. There is also the usual predilection for certain industrial groups, including companies of smaller size therein. Most prominent are the chemical and aviation shares—the former because of their really remarkable record of growth through research, the latter because of the great influx of armament orders.

But these preferences of the current stock market, although easily understood, may raise some questions in the minds of the sceptical. First to be considered is the extraordinary disparity between the prices of prominent and less popular issues. If average earnings of 1934–1939 are taken as a criterion, the “good stocks” would appear to be selling about two to three times as high as other issues. In terms of asset values the divergence is far greater, since obviously the popular issues have earned a much larger return on their invested capital. The ignoring of asset values has reached a stage where even current assets receive very little attention, so that even a moderately successful